CHAPTER 16

INTERNATIONAL TRADE OF INDIA

CHAPTER ESSENCE AT A GLANCE:
Examine the dynamic shifts in India export and import composition, changing direction of foreign trade, the critical function of sea ports as gateways, and the geographical features of the 12 major ports along the western and eastern coasts.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Changing Composition of Foreign Trade:** India exports shifted from primary agricultural raw materials to manufactured goods, processed petroleum products, engineering commodities, gems, and cut diamonds. Imports are heavily dominated by crude petroleum (POL), gold, capital machinery, and electronic goods.

• **Changing Direction of Trade:** India has diversified its trade partners away from historic dominance by the UK to Asian neighbours, USA, China, UAE, Saudi Arabia, and Russia, strengthening trade with ASEAN.

• **Major Ports along the Western Coast:** Deendayal Port (Kandla, tidal port built after partition to relieve Mumbai), Mumbai (largest natural harbour), Jawaharlal Nehru Port (Nhava Sheva, largest container terminal), Marmagao (Goa iron ore export), New Mangalore, and Kochi (Willingdon Island natural harbour).

• **Major Ports along the Eastern Coast:** Tuticorin, Chennai (artificial harbour), Kamarajar or Ennore (first corporatized port), Visakhapatnam (deepest landlocked protected harbour), Paradip (bulk iron ore to Japan), and Kolkata-Haldia (Kolkata is a riverine port on Hooghly with Haldia downstream outport).

ESSENTIAL GEOGRAPHICAL MODELS & LANDFORMS

$$\text{Export Basket Modernization} \iff \text{Manufactured Goods} + \text{Petroleum Refining} + \text{Engineering Commodities}$$
Transformation of India Export Commodity Structure

$$\text{Deendayal Port (Kandla)} \iff \text{Tidal Natural Harbour} \rightarrow \text{Built to Relieve Traffic from Mumbai Port}$$
Post-Partition Western Trade Gateway Strategy

$$\text{Jawaharlal Nehru Port (Nhava Sheva)} \iff \text{India largest Fully Mechanized Container Transshipment Port}$$
Premier Mechanized Container Gateway

$$\text{Kochi Port (Vembanad Lake)} \iff \text{Willingdon Island Natural Harbour} \rightarrow \text{Strategic Sea Trade Route to West}$$
Natural Estuarine Port on Arabian Sea Route

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Deendayal Port (Kandla) was developed after the 1947 partition specifically to compensate for the loss of Karachi Port, which went to Pakistan.

• **Alert:** Kolkata Port is an inland riverine port situated 128 km inland on the Hooghly river; it faces severe river siltation and depends on dredging and downstream Haldia port.

• **Alert:** Visakhapatnam is a landlocked, protected deep-water harbour connected to the Bay of Bengal through an excavated channel, making it immune to high oceanic waves.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Describe the changing composition of India export trade in recent decades. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Decline of Traditional Goods:** The relative share of traditional agricultural commodities (tea, spices, raw jute, raw cotton) in total exports has declined. **[1 Mark]**

• **Rise of Value-Added Manufacturing:** Massive surge in the export of engineering goods, pharmaceuticals, electronic components, and chemicals. **[1 Mark]**

• **Petroleum and Gems Leadership:** Refined petroleum products from domestic refineries and cut and polished diamonds have become the premier foreign exchange earners. **[1 Mark]**

2. Why did the Government of India develop Kandla Port (Deendayal Port) immediately after Independence? [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Loss of Karachi Port:** Partition in 1947 transferred Karachi port to Pakistan, leaving northwestern India without a major oceanic trade outlet. **[1.5 Marks]**

• **Relieving Mumbai Congestion:** Developed to relieve intense cargo congestion on Mumbai port and handle petroleum and agricultural imports for Punjab, Haryana, and Rajasthan. **[1.5 Marks]**

3. Compare the port of Mumbai with the Jawaharlal Nehru Port (Nhava Sheva) in terms of location, capacity, and role. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Mumbai Port:** Natural deep-water harbour situated on the western coast; India largest port by general cargo volume, handling historical petroleum and trade flows. **[2 Marks]**

• **Jawaharlal Nehru Port (JNPT):** Constructed at Nhava Sheva across Mumbai harbour as a satellite port; equipped with computerized container gantry cranes; India largest fully mechanized container port. **[2 Marks]**

4. Name two major ports on the East Coast of India and describe their distinctive geographical features and trade commodities. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **1. Visakhapatnam Port:** Deepest landlocked and completely sheltered port in Andhra Pradesh, linked to the sea via a deep dredged channel; handles bulk iron ore exports and petroleum crude. **[2 Marks]**

• **2. Paradip Port:** Deep-water port situated in the Mahanadi delta in Odisha; specializes in the mechanized handling and bulk export of iron ore to Japan and steel plants. **[2 Marks]**

5. Why is Kolkata port classified as a riverine port? Explain the operational problems faced by this port. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Riverine Character:** Located 128 km inland on the banks of the tidal Hooghly river rather than on the open sea coast. **[1.5 Marks]**

• **Operational Hurdles:** Suffers from heavy river siltation requiring constant dredging; navigation is vulnerable to high tidal bores and shallow sandbars, necessitating downstream Haldia port. **[1.5 Marks]**

6. Describe the geographical importance and trade specialisation of Kochi Port ('Queen of the Arabian Sea'). [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Estuarine Location:** Situated at the mouth of Vembanad Kayal on Willingdon Island, commanding the strategic east-west maritime trade route through the Indian Ocean. **[1.5 Marks]**

• **Trade Specialisation:** Natural deep-water harbour serving Kerala, southern Tamil Nadu, and Karnataka; handles petroleum crude, fertilizers, tea, spices, and international luxury passenger liners. **[1.5 Marks]**

7. Discuss the strategic significance of air transport in handling high-value and perishable international cargo in India. **[Score: 3 Marks]**

Answer & Key Valuation Steps:

• **High Speed Transit:** Indispensable for transporting high-value, low-bulk commodities (gems, jewellery, pharmaceuticals, software discs) across inter-continental distances. **[1.5 Marks]**

• **Perishable Goods:** Prevents spoilage of temperature-sensitive items like fresh fruits, flowers, live seafood, and emergency medical vaccines for foreign markets. **[1.5 Marks]**